

APPENDIX B — DEVELOPING A BUDGET

STEP 1

List all the available income. Divide it into income per month.

- | | |
|--------------------------|---|
| - Salary _____ | - Interest income _____ |
| - Rents _____ | - Dividends income _____ |
| - Notes receivable _____ | - Income tax refund, any other income _____ |

STEP 2

List your expenditures in the home on a monthly basis.

Variable Expenses

- Food
- Outstanding debts
- Utilities
- Insurance (life, health, auto, etc.)
- Entertainment and recreation
- Clothing allowance
- Medical and dental care
- Savings
- Miscellaneous

Fixed Expenses

- Tithe
- Federal and state income tax
(If these are already deducted from your pay, ignore this item.)
- Social Security taxes
(Treat the same as income taxes.)
- Housing expense (payment/rent)
- Residence taxes
- Residence insurance
- Other expenditures that are fixed every month: car payments, payments to support family members, or any other expense that is predictable and the same each month.

If you operate on a nonfixed monthly income, such as sales or commissions, divide the previous year's salary by 12 to get